

NCA
VOC FOR IOP/FN
BACKGROUNDER NO. 5-5759
CHRIS KERN

APRIL 25, 1978

SUPREME COURT: WOMEN'S PENSIONS

ANNCR:

THE UNITED STATES SUPREME COURT HAS RULED THAT AMERICAN EMPLOYERS CAN'T COLLECT LARGER PENSION CONTRIBUTIONS FROM THEIR WOMEN EMPLOYEES THAN THEY DO FROM THE MEN WHO WORK FOR THEM -- EVEN THOUGH THE WOMEN, ON THE AVERAGE, TEND TO LIVE LONGER. CHRIS KERN REPORTS.

VOICE:

EVER SINCE 1834, STATISTICIANS HAVE COMPUTED LIFE EXPECTANCY TABLES BASED ON SEX AND, AS THE SUPREME COURT NOTED, THERE'S NO DOUBT THAT WOMEN TEND TO LIVE LONGER THAN MEN DO. BUT, IN A RULING THAT WILL REQUIRE MAJOR CHANGES IN INSURANCE PRACTICES IN THIS COUNTRY, THE COURT SAID THE LONGER FEMALE LIFE EXPECTANCY DOESN'T JUSTIFY DEDUCTING LARGER PENSION CONTRIBUTIONS FROM THE PAYCHECKS OF WOMEN WORKERS THAN FROM THOSE OF MEN.

THE SUPREME COURT'S RULING DIRECTLY AFFECTS FIFTY MILLION AMERICANS WHO ARE COVERED BY PENSION FUNDS THAT ARE WORTH OVER FOUR THOUSAND MILLION DOLLARS. INDIRECTLY, IT WILL PROBABLY HAVE AN EFFECT ON THOUSANDS OF OTHER INSURANCE PROGRAMS WHICH, LIKE THE PENSION PLANS, ARE PAID FOR PARTLY OR COMPLETELY OUT OF CONTRIBUTIONS BY THE EMPLOYEES WHO BENEFIT FROM THEM.

IN A MAJORITY OPINION WRITTEN BY JOHN PAUL STEVENS, THE COURT SAID A 1964 LAW THAT PROHIBITS SEX DISCRIMINATION IN EMPLOYMENT REQUIRES THAT MEN AND WOMEN MAKE EQUAL CONTRIBUTIONS TO THEIR PENSION PLANS. THE COURT REJECTED

THE ARGUMENT OF A LOS ANGELES CITY AGENCY THAT IT WAS ONLY FAIR FOR THE WOMEN TO PAY MORE SINCE, AS A CLASS, THEY COLLECTED MORE IN PENSION BENEFITS. IT SAID THE SEX DISCRIMINATION LAW REFERS TO INDIVIDUALS, NOT TO CLASSES, AND THAT SINCE THERE IS NO WAY TO PREDICT WHEN AN INDIVIDUAL EMPLOYEE WILL DIE, IT'S ILLEGAL TO DEDUCT A LARGER AMOUNT FROM HER PAYCHECK ON THE ASSUMPTION THAT SHE WILL LIVE LONGER THAN THE AVERAGE MALE WORKER.

IN MOST JOB DISCRIMINATION CASES, SUPREME COURT DECISIONS HAVE A RETROACTIVE EFFECT; EMPLOYERS WHO HAVE DISCRIMINATED ARE REQUIRED TO REIMBURSE THE EMPLOYEES WHO HAVE BEEN THE VICTIMS OF THEIR DISCRIMINATION. BUT IN THIS CASE, THE COURT SAID, THE OPINION WILL APPLY ONLY IN THE FUTURE, BECAUSE TO DO OTHERWISE MIGHT JEOPARDIZE THE FINANCIAL STABILITY OF AN UNKNOWN NUMBER OF PENSION PLANS THAT HAVE BEEN SET UP ON THE ASSUMPTION THAT MEN AND WOMEN DON'T HAVE TO BE TREATED THE SAME.

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